7 marks every paper

Ind AS 115 — Revenue from Contracts with Customers

Short notes from ICAI SM Chapter 9 + RTP / MTP / past papers. **Pattern:** every paper = one 5-mark Q5(a) + 1–2 MCQs. Asked: **contract modification** (Sep 2025, May 2026 MCQ, May 2023), **significant financing** (Jan 2026, Nov 2022), **bill-and-hold** (May 2026, May 2022), **loyalty points / material right** (Nov 2024, May 2024, Nov 2022), **licences** (May 2025), right of return + volume rebates (May 2022), uninstalled materials (May 2023), service concession (Nov 2022), scope MCQ (Jan 2026).

1 The five steps and scope 115.2–9

Step	Question to answer
1 Contract	Is there an enforceable contract meeting all 5 criteria? Combine? Modified?
2 Performance obligations	Which promises are **distinct**? (each distinct good/service or series = one PO)
3 Transaction price	Fixed + variable (constrained) − financing effect + non-cash FV − consideration payable to customer
4 Allocate	To POs on relative **stand-alone selling prices** (discount and variable amounts may go to specific POs)
5 Recognise	When (or as) **control** passes — over time (3 tests) or at a point in time

- **Out of scope:** leases (116), insurance (117), financial instruments (109), and **non-monetary exchanges between entities in the same line of business** to facilitate sales (two oil companies swapping oil; Jan 2026 MCQ: same-industry bottle swap).
- Barter between **different** businesses is in scope — measure non-cash consideration at FV (TYK 2: talk time for power — each records revenue ₹ 50,000 at the FV of what it receives).
- Ind AS 115 vs AS 9/7: control-based, 5 steps, financing adjusted, contract costs capitalised, detailed disclosures.

2 Step 1 — the contract 115.9–21

All 5 criteria: (1) approved and parties committed · (2) each party's rights identifiable · (3) payment terms identifiable · (4) commercial substance · (5) collection of the consideration **probable** (ability and intention to pay; the amount may be after expected price concessions — TYK 5: price ₹ 2 m, expected 1.75 m → transaction price 1.75 m and the contract exists).

Criteria not met (TYK 4: P pays 5% non-refundable deposit, credit risk high): cash received = **liability** until (a) no obligations remain and substantially all consideration received and non-refundable, or (b) contract terminated and cash non-refundable. Keep reassessing.

- **Contract term** = period of enforceable rights. Gym, 12 months but cancellable free after 3 → term **3 months** (Illus 2). 100 cameras but cancellable free after 10 → contract for **10 units** + option for 90 (Illus 3).
- **Combine contracts** (same customer/related parties, about the same time) if: negotiated as one package with one commercial objective, OR price of one depends on the other, OR goods form a single PO (Illus 5: licence + customisation 3 days later → combine; Illus 6: two government entities, discount only if both buy → combine; Illus 4: planes + spare parts → separate).

Contract modification — the exam favourite 115.18-21

Situation	Treatment	ICAI figures
Adds **distinct** goods **and** price reflects their **SSP**	**Separate new contract**	Illus 7: 120 units at 1,000; after 60, +30 at 950 (SSP) → new contract at 950
Remaining goods distinct from those transferred, price not at SSP	**Prospective: terminate old + new contract; price = unrecognised old consideration + new**	Illus 8: maintenance cut 55,000 → 45,000 p.m. → remaining 6 months at 2,70,000
Remaining goods **not distinct** (part of one PO, e.g. construction)	**Cumulative catch-up: new price × new % complete − revenue to date**	Illus 9: 200 h × 150 + 50 h × 100 = 35,000 / 250 = 140 → 100 h × 140 − 15,000 = **(1,000)**. May 2026 MCQ: same logic → **(2,000)**

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PQ 8 (S Ltd / Corp — asked May 2023, Sep 2025, 4 MTPs): ₹ 20 lakh + 2.5 lakh bonus (constrained at inception); expected cost 11 lakh. Year 1: 65% done → revenue **13 lakh**, cost 7.15 lakh. Modification on 4 June: fixed price +1.5 lakh, cost +80,000, bonus now highly probable → price 24 lakh; % complete 7.15 / 11.80 = 60.60% → catch-up revenue **1,54,400** (60.60% × 24 lakh − 13 lakh). Same steps in Sep 2025 (₹ 1.2 cr + 35 lakh bonus) and May 2023 (₹ 30 lakh + 3.75 lakh → 2,31,600).

③ Step 2 — performance obligations 115.22-30

Distinct = both: (a) capable — customer can benefit on its own or with readily available resources; (b) separately identifiable in the contract. **Not** separately identifiable if: significant **integration** into a combined output, one **significantly modifies/customises** another, or they are **highly interdependent**.

Series of substantially the same goods/services with the same pattern of transfer = **one** PO (cable TV each month — Illus 24; hotel management each day — Illus 13; 2,000 customised engines transferred over time — RTP May 2026).

Facts (SM)	POs
Water purification plant / power plant — design, build, procure, integrate (Illus 10, 12)	1 (integration)
Design + construction of mall where design keeps changing (Illus 14)	1
Broadband + voice + modem buyable elsewhere (Illus 11; Nov 2024); modem + router + internet (Illus 17)	3
Licence + installation + updates + support (Illus 15)	4
Same but installation **significantly customises** the software (Illus 16)	3 (licence + customisation is one)
Anti-virus licence + updates critical to use (Illus 18)	1
Magazine print + online (Illus 19)	2
Implied promises: free support to reseller's end users (Illus 20); free 2-year maintenance advertised by carmaker (Illus 21)	Separate PO
Telecom registration / activation fee (Illus 28)	Not a PO — fee is an advance for future service

Customer options, loyalty points, material rights B39–B43

→ Option that gives a **material right** (a discount the customer would not get without the contract) = separate PO → allocate price on relative SSP; revenue when used or lapses.

→ SSP of an option = discount × expected purchase × likelihood of use, **excluding** any discount everyone gets anyway.

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Illus 23 (Nov 2022, May 2024 variants): 40% voucher, but 10% to all → incremental 30% × ₹ 500 average purchase × 80% = SSP **120**; allocate 1,000 × 1,000/1,120 = **890** product, **110** voucher. **PQ 9:** 1 point per ₹ 100, point worth ₹ 5, 100 points × 5 = 500 → points 10,000 × 500/10,500 = **476** deferred, 9,524 now. **Illus 22 (renewal option):** 7,500 + 6,000 + 6,000 with 50% attrition → 12,00,000 / 175 memberships = **6,857** revenue per member in year 1, **643** contract liability. **Loyalty points (PQ 5; Nov 2024):** allocate sales between goods and points on relative SSP (points × value × expected redemption); release points revenue = allocated amount × points redeemed ÷ total points expected to be redeemed; re-estimate each year, catch up.

Principal vs agent · consignment · upfront fees B34–B38, B77–B78

→ **Principal** = controls the good/service before transfer (indicators: primarily responsible, inventory risk, price discretion) → revenue **gross**. Agent → **net** commission. Illus 26: ticket reseller bound to buy tickets → principal. Illus 27: ad agency controls the service though no inventory risk/no price discretion → principal.

→ **Consignment:** no revenue on delivery to the consignee; revenue when the consignee sells or must pay (Illus 25).

→ **Non-refundable upfront fee** not tied to a transferred good → advance for future goods; recognise over the period (include renewals if it gives a material right).

④ Step 3 — transaction price 115.47–72

Variable consideration and the constraint

→ Discounts, rebates, refunds, credits, price concessions, incentives, bonuses, penalties → estimate by **expected value** (many contracts / range of outcomes) or **most likely amount** (two outcomes), whichever predicts better; estimate each element separately.

→ **Constraint:** include only to the extent it is **highly probable** that a significant reversal will not occur. Re-assess every reporting date; changes go to revenue (catch-up).

→ Cash discount for early payment (RTP May 2022): if paid after year-end but before approval, it is evidence → adjust sales.

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Illus 30: ₹ 25 cr + early-completion bonus (expected value 2.125 cr) + quality bonus (most likely 2 cr) = **29.125 cr**. **PQ 3:** 1,30,000 (90%) or 1,10,000 → most likely **1,30,000**. **PQ 2 (price protection):** 5,000 × 70% + 4,500 × 20% + 4,000 × 10% = **4,800** per TV. **PQ 1:** 1,000 − expected reimbursement 50 = **950**.

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Volume rebates: Illus 31 (HT Ltd) — Q1: 10 units × 1,000 = **10,000** (100 units not expected); Q2: estimate changes → 50 × 900 − 10 × 100 = **44,000**. PQ 10 (chargers, same logic): 53,050. TYK 6: expected 2.8 m containers → price ₹ 90; Q1 7 lakh containers → revenue **63 m**, refund liability **7 m**. May 2022 PYQ (nut bolts): liability 24,000 × (200 − 190) = **2,40,000**.

Sale with right of return B20–B27

→ Revenue only for goods **not** expected to be returned; **refund liability** for the rest; **asset** (right to recover goods) at former carrying amount less recovery costs and value loss; reduce cost of sales.

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Illus 34: 1,000 × ₹ 50, 3% expected back, cost ₹ 30 → revenue **48,500**; refund liability **1,500**; asset **900**; cost of sales 29,100. (MTP Nov 2026: 10,000 moulds, same steps; May 2022 PYQ car locks.)

Warranties B28–B33

Type	Test	Accounting
Assurance-type	Only promises the product works as agreed	Ind AS 37 provision (expense)
Service-type	Extra service (sold separately, longer than normal, beyond specification)	Separate PO → allocate price → contract liability → revenue over the coverage

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Illus 35: computers 36,000 incl. extended cover → revenue 32,000; contract liability (service warranty) **4,000**; assurance warranty provision 2,000. **Illus 36:** 100 batteries × 2,000 with 5-year guarantee (normal 1 year) → revenue 1,70,000, contract liability **30,000** (years 2–5), assurance provision 10,000. Sep 2025 MCQ: free service after the 1-year warranty = separate PO, allocate on relative SSP.

Q5(a) material

Significant financing component 115.60–65

When: payment timing gives a significant financing benefit (gap between cash price and promised amount; long interval; interest rates). **Not** significant if: advance paid and timing at customer's discretion; consideration variable on an uncontrollable event (sales royalty — Illus 44); difference is for another reason (retention money protecting the customer — Illus 41; advance from low-credit customers — Illus 43). **Practical expedient:** gap ≤ 1 year → ignore (Illus 47).

How: transaction price = PV at the rate for a **separate financing transaction** with that customer (credit-adjusted), not the contract rate if that is lower. Payment in arrears → revenue at PV, interest income (Ind AS 109). Advance received → contract liability grows with **interest expense**; revenue = liability at transfer.

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Illus 38: ₹ 1,21,000 after 2 years; cash price 1,00,000 → revenue 1,00,000, interest 21,000 over 2 years. **Illus 39 Case B:** 60 × 2,12,470 at 14% → TP **91,31,346**. **Illus 40:** advance 4,000, 6% for 2 years → interest expense **494**; revenue 4,494. **Jan 2026 Q5(a):** 5 × 2,50,438 at 8% contract, 10% market → TP = 2,50,438 × 3.79 = **9,49,160**. **Mercury / Mohan (MTPs, Nov 2022):** instalments discounted → sale at PV (Mercury 9,50,000), finance income over 2 years.

Non-cash consideration · consideration payable to a customer

- Non-cash → FV at **contract inception** (later changes due to its form are not revenue). If FV not reliable → SSP of goods given. Illus 50: 1,000 + ad slots FV 600 = **1,600** (else 1,500). Illus 51: customer-provided tooling FV 2 cr that the supplier controls → TP **27 cr**. Illus 49: shares bonus valued at inception ₹ 100 → 360 cr if earned.
- Payment to customer (slotting fees, coupons, rebates, credits) → **reduce revenue** unless for a distinct good/service at FV. Recognise the reduction at the later of revenue and promise to pay. Illus 52: 1.5 cr on 15 cr commitment = 10% → first month 1.25 − 0.125 = **1.125 cr**. Illus 53: port-in credit → TP 19,200 − 2,000 = **17,200**. TYK 7: rebate coupon → 50 − 25% × 10 = **47.50**. RTP Jan 2026: upfront ₹ 50,000 → reduce revenue in proportion to sales (Q2: 1,22,500).

5 Step 4 — allocate the price 115.73–90

- SSP: observable price → else adjusted market assessment / expected cost plus margin / **residual** (only if price highly variable or uncertain). Illus 54: 10,000 on SSPs 5,000 / 2,500 / 7,500 → 3,300 / 1,700 / 5,000.
- **Discount** goes proportionately unless all 3: each item sold separately; a bundle of some is regularly sold at a discount; that discount ≈ the contract discount → put it on that bundle (Illus 55A; PQ 7). Residual only if result is within the observable range (Illus 55B/C).
- **Variable consideration** goes to one PO if it relates specifically to it and that is consistent with the objective (Illus 56: royalty on Licence B only).
- **Changes in TP** after inception: allocate on the inception SSP basis; satisfied POs → revenue now (Illus 57: bonus 20 lakh to implementation → 60% × 1.2 cr = **72 lakh** to date). Discretionary retention credit → change in price; recognise over remaining term (Illus 58).

Q5(a) material

⑥ Step 5 — when to recognise 115.31–45, B

Over time if ANY one	SM illustration
(a) customer receives and consumes the benefit as you perform	Payroll processing (Illus 59); sea freight — another carrier would not redo it (Illus 60)
(b) your work creates/enhances an asset the customer controls	Building on customer's land
(c) no alternative use **and** enforceable right to payment for work to date (cost + reasonable margin)	Audit opinion (Illus 61); satellite (Illus 62). Illus 63: no right to payment if customer stops → **point in time**

→ **Point in time** indicators: present right to payment, legal title, physical possession, risks and rewards, customer acceptance.

→ **Measuring progress:** output methods (milestones, units) or input methods (cost incurred). Exclude costs that don't show progress (wasted materials). Health club → straight line (Illus 64).

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Uninstalled materials (Illus 65; TYK 3; May 2023): goods not distinct, controlled by customer before installation, significant, procured not made → recognise revenue = **cost** for them (no margin) and exclude from % complete. Illus 65: other costs 5 / 25 lakh = 20% × (50 − 15) = 7 lakh + elevators 15 lakh = **22 lakh**. TYK 3: 20% × 40 lakh + 10 lakh = **18 lakh** (profit 2 lakh). May 2023: **17.60 lakh**.

Repurchase agreements · bill-and-hold · licences

Arrangement	Treatment
Forward or **call** (seller must/can buy back)	Customer has no control → repurchase price < original = **lease**; ≥ original = **financing** (liability; difference = interest). Illus 66: sold 10 lakh, call at 11 lakh → liability 10 lakh, finance cost 1 lakh.
Put (customer can sell back)	Significant economic incentive to exercise (repurchase price well above market)? Yes → lease (price < original) or financing; No → sale with right of return. Illus 67: put at 9 lakh, market 7.5 lakh → incentive → lease; if lapses, revenue at 9 lakh.
Bill-and-hold (Illus 68; May 2022; May 2026)	Revenue before delivery only if all 4: substantive reason (customer asked), goods identified separately, ready for transfer, can't be used/sent elsewhere. Spare parts held → revenue when criteria met; **custodial service** = separate PO, straight line over the holding period. Machine delivered → revenue then.
Licence — **right to access**	Licensor's ongoing activities significantly affect the IP, customer exposed to them, not a separate good → **over time** (franchise with brand upkeep — PQ 4, May 2025; team name and logo — Illus 72)
Licence — **right to use**	IP static (functional) → **point in time** (1975 recording — Illus 69; software with optional updates — Illus 70; completed film — Illus 71)
Sales / usage royalty on a licence	Recognise only when the sale/usage occurs (exception to the constraint)

7 Contract costs 115.91–104

Cost	Capitalise when	Expense
To **obtain** (sales commission)	Incremental (only because the contract was won) and expected to be recovered	Bid costs, legal costs incurred win or lose (unless rechargeable); practical expedient: amortisation period ≤ 1 year
To **fulfil**	Not covered by another Ind AS (16, 38, 2) + relate directly to a contract + create resources for future performance + recoverable	General admin, wasted materials, costs of past performance

→ Amortise on the pattern of transfer, including **expected renewals** (Illus 74: 5 years + 2 expected renewals → **7 years**). Impairment: carrying amount > remaining consideration − costs to provide.

→ Illus 73 (IT outsourcing ₹ 4 lakh): hardware → Ind AS 16; software → Ind AS 38; design and migration/testing → Ind AS 115 asset, amortised over 7 years.

8 Presentation · foreign currency advance

→ **Contract asset** = right to consideration conditional on something other than time (performance done, not yet billable). **Receivable** = unconditional right (only time). **Contract liability** = cash received/due before performance.

→ Advance in foreign currency (RTP Sep 2025; MTP Nov 2026): advance is non-monetary → revenue at the rate on the date of the advance for that portion (Ind AS 21 Appendix B); rest at transaction-date rates.

→ Disclose: disaggregated revenue, contract balances, remaining POs, judgements.

9 Service concession arrangements (Appendix D) Illus 75; Nov 2022 Q2(b) 10 marks

Model	When	Accounting
Financial asset	Unconditional right to receive cash from the **grantor** (annuity, guaranteed amounts)	Receivable at FV (Ind AS 109); construction revenue; borrowing costs expensed
Intangible asset	Right to charge **users** (tolls) — payment depends on usage	Intangible (Ind AS 38) for construction service; amortise over concession; borrowing costs capitalised during construction

→ Operator does not recognise the infrastructure as PPE. Construction and operation are separate POs. Obligation to restore/resurface → Ind AS 37 provision. Both models possible in one contract (split).

10 Exam checklist

Modification: distinct + SSP → new contract; distinct, not SSP → prospective; not distinct → cumulative catch-up (new price × new % − revenue to date).
Variable consideration: expected value vs most likely; constrain; volume rebate → refund liability for the price difference.
Financing: > 1 year and significant → discount at the separate-financing rate; arrears → interest income; advance → interest expense on contract liability.
Material right / points: SSP = incremental discount × purchase × likelihood → allocate → defer → release on use.
Right of return: revenue on expected-to-keep; refund liability; asset at cost.
Bill-and-hold: 4 criteria + separate custodial PO over time.
Licence: ongoing activities that change the IP → access (over time); static IP → use (point in time).
Uninstalled materials: revenue = cost, excluded from % complete.
Always write: **identify the PO** → **transaction price** → **allocation** → **timing**, with the paragraph reference.